



the latest fundraise, the company is looking to expand into 10 new cities, including Ahmedabad, Chandigarh, Jaipur, and Coimbatore. Company insiders say Zepto is aggressively expanding into Tier II towns.

Zomato Co-founder and CEO Deepinder Goyal told *BT* recently that the 10-minute concept is magical, and he's very bullish on Blinkit. "Blinkit will be larger than Zomato in one-tenth the time. The scale it brings to the table is huge," he said.

Phani Kishan Addepalli, CEO of Swiggy Instamart, says quick commerce is one of India's largest consumer categories, growing at a high double-digit rate. "Similar to the ease we introduced in food delivery, we recognise that consumers seek convenience in various facets of their lives," he says. He adds that the firm is seeing good traction in both metros and non-metros, is operational in over 25 cities, and has witnessed notable growth in cities like Jaipur, Chandigarh, Visakhapatnam, and Kochi. "On average, these cities have more than doubled in the last 12 months, and we expect to see strong growth as we are just getting started," he says.

However, these firms are also finding that some places aren't working out for quick commerce.

That's part of doing business, Taneja says. According to a leading investor, who did not wish to be named, the food delivery business faced a similar situation seven to eight years ago. Companies didn't initially know which cities would be profitable, leading to rapid and expansive growth, followed by closures in less viable locations. "I remember some had shut down operations in around 200 cities," the investor recalls. Quick commerce is expected to follow a similar trajectory.

Taneja says there is a significant opportunity for profitability in In-

dia's top cities, though success depends on each individual business. "There is a vast market available in the Top 15 cities where you can build a substantial business presence," he says. Taneja, as part of Lightspeed, is also an investor at Zepto.

The promise of quick commerce is its projected growth, says Kushal Bhatnagar, Associate Partner at Redseer. Historically, some trends surge and then stabilise, but quick commerce is expected to maintain a 70–80% growth rate over the next two years, he says. No wonder, then, that the major players are looking to expand dark stores and user base.

GOING DARK

Dark stores are the backbone of quick commerce. These strategically located hubs, often found in commercial or industrial areas, serve neighbourhoods within a 2-km radius, ensuring rapid delivery.

Each platform relies on a robust network of these dark stores, supported by at least one large warehouse—dubbed the mother warehouse—on a city's outskirts that holds a larger inventory of about 100,000–200,000 stockkeeping units (SKUs). This central hub manages all procurement from brands and distributors before distributing inventory to the network of 30–40 dark stores within the city. The dark stores stock about 6,000 SKUs, offering a diverse range of products.

"Here, the data that these companies have plays a very important role," Ganesh highlights, explaining that each locality has different demands and the stock is distributed accordingly.

According to a report by JM Financial, dark store operations are powered by advanced tech that optimises inventory, product placement, replenishment, quality control, and delivery logistics.

